TD Power Systems

TD Power Systems Limited (NSE/BSE: TDPOWERSYS) is a Bengaluru-based manufacturer of AC generators and electric motors, serving steam turbine, gas turbine, hydro turbine, wind, and diesel/gas-engine-based power applications from 1MW up to 200MW, along with locomotive, marine, oil & gas, and traction motor segments. Founded in 1999 and listed on the NSE and BSE, the company has grown over the last 15 years into an internationally referenced supplier — export and deemed-export sales made up 79% of FY26 order inflow — with consolidated FY26 revenue of INR1,856 crore and a market capitalization of roughly INR17,800 crore.

Value Chain Positioning

TDPS sits as a Tier 1-2 component/sub-assembly manufacturer between prime-mover OEMs and end power-generation projects. Upstream, it buys raw materials (copper, steel, electrical steel) and licensed generator designs (historically from Siemens AG and Toshiba-Mitsubishi) rather than developing every design in-house. Downstream, it does not sell directly to end-users of power — it supplies AC generators and motors *to* turbine/engine OEMs (e.g. INNIO for gas engines) and EPC contractors, who integrate them into complete power-generation packages sold on to utilities, industrial captive-power users, railways, and data-center/hyperscale developers (SpaceX named as one such end-project). Management explicitly frames this as a derivative-demand business: "our turbine customers, engine customers are, on an average, planning to double capacity by 2030," and TDPS's own volumes scale off that OEM capacity growth, not off end-demand directly.

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+----------------------------------------------------+
|  UPSTREAM                                          |
|  Copper, steel, electrical steel; licensed         |
|  generator designs (Siemens AG,                    |
|  Toshiba-Mitsubishi)                               |
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+----------------------------------------------------+
|  THE COMPANY -- TD Power Systems                   |
|  AC generators & motors, 1MW-200MW (steam/gas/     |
|  hydro turbine, wind, diesel/gas-engine based)     |
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|  DOWNSTREAM CUSTOMERS                              |
|  Turbine/engine OEMs (e.g. INNIO), EPC             |
|  contractors                                       |
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|  END MARKET                                        |
|  Utilities, industrial captive power, railways,    |
|  data-center/hyperscale developers (e.g. SpaceX-   |
|  linked projects)                                  |
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Near Term (Next 1 to 2 Quarters)

- **Q1 FY27 Execution Rebound** `[Pending]`: A one-off shipping delay on a Turkey contract compressed Q4 FY26 gross margins by about 3 percentage points; management expects Q1 FY27 execution to improve on Q4. No Q1 FY27 results are out yet to confirm this. "we are heavily focused on Q1 execution, where based on the progress so far, we see that we will do better than Q4 of last financial year." (Q4 FY26 concall, May 15 2026)

- **Record Order Book and Inflow** `[On Track]`: Manufacturing order book stands at INR1,973 crore (INR1,677 crore generators, INR247 crore railway), with Q4 FY26 order inflow up 61% QoQ to INR666 crore — already-realized momentum, not just a forward claim. "we see a very strong order inflow situation continuing, and the focus right now is on execution." (Q4 FY26 concall, May 15 2026)
- **Hydro Order Wins This Quarter and Next** `[Pending]`: Management expects FY27 to be one of TDPS's strongest years in Hydro, with high-value order wins in the current and next quarter. "This segment will result in some high-value order wins for TDPS in this quarter and next." (Q4 FY26 concall, May 15 2026)

Medium Term (6 to 12 Months)

- **FY27 Guidance Raised to INR2,400cr+** `[On Track]`: Consolidated FY27 revenue guidance was raised to INR2,400-plus crore at the Q4 FY26 call — an increase from the INR2,200-plus crore guided just one quarter earlier (Q3 FY26, Feb 2026), itself already flagged then as "conservative." "We've revised our guidance for FY '27 at INR2,400-plus crores with an extremely high probability to increase our guidance further to match the rate of order inflow that we saw in Q4 and what we expect in this financial year from Q1 to Q4." (Q4 FY26 concall, May 15 2026) — vs. the earlier "General guidance, we will cross INR 1,800 crores this financial year, and we give an upward guidance for FY '27 at INR 2,200-plus crores." (Q3 FY26 concall, Feb 9 2026), which management itself called "a conservative guidance" at the time.
- **20-25% Growth Guided for FY28** `[Pending]`: Ahead of formal FY28 order-book guidance, management conservatively guides to 20-25% growth over FY27, citing the trajectory of quarter-on-quarter order inflow. First specific mention of this figure. "we'll definitely be able to grow 20% to 25% even next year over this year." (Q4 FY26 concall, May 15 2026)
- **INR100cr Capex Program Through FY28** `[Pending]`: TDPS plans roughly INR50 crore of capex in FY27 and another INR50 crore in FY28 to debottleneck existing lines and add automation, separate from planned large-generator capacity investment. "we have a plan to invest around another INR50 crores in capex, okay, in addition to whatever we did previously." (Q4 FY26 concall, May 15 2026)

Long Term (1+ Years)

- **Large-Generator Capacity Ramp-Up by Calendar 2028** `[On Track]`: New large-generator (up to 200MW) capacity is targeted for completion by calendar 2027, with the full production ramp-up expected only in calendar 2028 (FY29), aimed largely at export markets. This builds on a less specific version of the same plan flagged a quarter earlier — investment in 2-pole generator production and motors was already named as "a major thrust area for the company in FY '28 onwards" (Q3 FY26 concall, Feb 9 2026) — now refined with exact calendar-year milestones: "The earliest that we can put in our complete capacity would be something like in calendar '27... we'll be looking at the big ramp-up taking place in our large generator business only in calendar '28." (Q4 FY26 concall, May 15 2026)
- **Capacity Sized for INR3,000-3,200cr Sales by FY28** `[Pending]`: Current capacity, plus the incremental investments planned through FY28, is sized by management to support sales of roughly INR3,000-3,200 crore. First disclosure of this specific figure. "we believe that we can go up to about INR30 billion to INR32 billion with our current capacities and with these incremental investments made this year and next year." (Q4 FY26 concall, May 15 2026)
- **AI Data Center Demand Framed as a Multi-Year, 100GW+ Opportunity** `[On Track]`: Management sizes the US AI data-center power opportunity at roughly 100 gigawatts, expected to take 5-7 years to build out, with global demand potentially reaching double that — a consistent theme across both the Q3 and Q4 FY26 calls — "The market conditions continue to be very strong for TDPS in all segments of the business." (Q3 FY26 concall) — not a one-off assertion. "the power requirement of the data center market for U.S. alone is projected to be somewhere around 100 gigawatts in size. And the expected time frame to address installation of this capacity is going to take 5 to 7 years." (Q4 FY26 concall, May 15 2026)

Marquee & Niche Customers

- **INNIO**: A global gas-engine OEM with a signed capacity agreement extending to 2030. Management describes it as a deep, exclusive-feeling relationship: "We have a very specific forecast and a capacity agreement signed with INNIO, where it goes up to 2030. I'm not going to disclose those numbers with you, but it's extremely exciting for us, and we are very deeply plugged in with this customer." (Q4 FY26 concall, May 15 2026)
- **SpaceX**: Named as a notable end-customer for gas turbine/gas engine generator deliveries, an unusually high-profile reference customer for an Indian generator manufacturer. "Notable orders are delivery to projects such as SpaceX, amongst others." (Q4 FY26 concall, May 15 2026)

No top-10-customer or single-customer revenue concentration percentage was disclosed in the sources reviewed; 79% of FY26 order inflow was export vs. 21% domestic (a geographic split, not a named-customer concentration figure).

Customer's own guidance, independently checked: INNIO Group's own public disclosures confirm a multi-year, self-funded capacity expansion targeting nearly triple capacity (to 10 GW) by 2030, driven in part by AI data-center power demand — independent, third-party corroboration of the "capacity agreement signed with INNIO, where it goes up to 2030" TDPS management described above. No independently disclosed capacity or demand guidance specific to the TDPS relationship was found from SpaceX in the sources reviewed (SpaceX does not publicly disclose supplier-level plans).

Capex, Milestones & Certifications Timeline

Date/Horizon	Milestone	Status	Amount	Source
~2010-2012	License/manufacturing agreements with Siemens AG (two-pole generators up to 250MVA) and Toshiba-Mitsubishi (Japan)	Achieved	—	Company/public profile
Certification (date not disclosed in sources reviewed)	ISO 9001, ISO 14001, OHSAS 18001 certified manufacturer	Achieved	—	Company profile (indiamart/company disclosures)
18 Dec 2025	Third manufacturing plant declared operational	Achieved	Not separately disclosed	Q3 FY26 concall: "We declared our third plant as operational on 18th December"
Q4 FY26 -> Q1 FY27	Third-plant ramp-up: ~INR550-575cr/quarter production in Q4 FY26, ~INR600cr/quarter from Q1 FY27	Achieved (Q4 FY26 run-rate); Q1 FY27 pending confirmation	Not separately disclosed	Q3 FY26 concall
FY27	Debottlenecking/automation capex tranche 1	Planned	~INR50cr	Q4 FY26 concall
FY28	Debottlenecking/automation capex tranche 2; 2-pole generator and motor production investment named as a major FY28 thrust area at Q3 FY26	Planned	~INR50cr	Q4 FY26 concall; Q3 FY26 concall
Calendar 2027	Large-generator (up to 200MW) capacity completion	Planned	Not separately disclosed	Q4 FY26 concall
Calendar 2028 (FY29)	Full ramp-up of large-generator capacity	Planned	—	Q4 FY26 concall

Date/Horizon	Milestone	Status	Amount	Source
Not dated	15 acres allotted by KIADB in Vasanthanarasapura 3rd Phase Industrial Area, Tumkur District, for a facility to manufacture "Electrical Generators, Motors, their sub-assemblies, and Parts" — plausibly the site for the calendar-2027 large-generator capacity above, though this report cannot independently confirm the two are the same project	Planned/land secured	Not disclosed	KIADB public land-allotment notice
~Revenue of INR2,600-2,800cr (no fixed date given)	Next evaluation point for a further major capacity addition, ahead of which management does not anticipate major capex (25% spare space already built into existing buildings)	Planned/threshold-based	Not yet sized	External reporting on management commentary

Siemens is also independently named by management as a large-generator *competitor*, not a customer — noted here only for the historical technology-licensing relationship, which is distinct from the competitive dynamic described in Key Risks below.

Financial Performance Summary

Consolidated, last 5 fiscal years (screener.in):

FY	Revenue (INR cr)	YoY Growth	EBITDA/OPM Margin*	PBT (INR cr)	PAT (INR cr)	PAT Margin
FY22	797	—	12%	92	70	8.8%
FY23	872	+9.4%	15%	130	97	11.1%
FY24	1,001	+14.8%	17%	162	118	11.8%
FY25	1,279	+27.8%	18%	232	175	13.7%
FY26	1,856	+45.2%	18%	326	239	12.9%

*screener.in discloses Operating Profit Margin (OPM), not a separate gross-margin line — shown here as EBITDA/OPM margin, not gross margin, since that's what was actually reported. PAT margin dipped slightly in FY26 (12.9% vs. 13.7% in FY25) despite OPM holding at 18%, consistent with the one-off Turkey-contract shipping-delay hit to Q4 FY26 gross contribution already covered in Near Term.

Segment-wise Performance

screener.in and the concall present only consolidated company-wide financials — no Ind AS 108 segment-reporting breakdown (e.g. by Manufacturing/EPC/Common, the segments the company is known to report in filings) was found in the sources reviewed for this refresh. What *is* disclosed is an order-book composition by business line, which is a different thing from a revenue segment but the closest available cut: of the INR1,973cr manufacturing order book, INR1,677cr (85%) is generators and INR247cr (13%) is railway, with the remainder split between spares/aftermarket and the Turkey contract. Product-line commentary (steam turbine, gas turbine/gas engine, hydro, motors, railway) is qualitative on the concall, not broken into individual segment revenue figures.

Manufacturing Locations & Physical Assets

Location	Status	What it houses	Source
KIADB Industrial Area, Dabaspet, Nelamangala Taluk, Bengaluru Rural, Karnataka	Owned/existing (registered office + established manufacturing units)	Core AC generator and motor manufacturing	Company registered-address filings
Third plant (Bengaluru-area cluster)	Commissioned 18 Dec 2025, ramping	Additional generator/motor manufacturing capacity; critical machinery (including robots) shifted in from existing units during commissioning	Q3 FY26 concall
Vasanthanarasapura 3rd Phase Industrial Area, Tumkur District, Karnataka	Land allotted (15 acres), not yet built out per sources reviewed	Planned facility for "Electrical Generators, Motors, their sub-assemblies, and Parts" — plausibly linked to the calendar-2027 large-generator capacity addition, not independently confirmed	KIADB public land-allotment notice

Management also notes "more than adequate land" at the first plant for further capacity if needed, without a separate build-out announced yet. No overseas manufacturing sites were disclosed in the sources reviewed — TDPS exports from its Indian manufacturing base rather than manufacturing abroad.

Capacity Utilization & Headroom

Before capex: not computable — no numeric capacity utilization % or the installed-capacity/units-produced inputs needed to derive one were disclosed in any source reviewed (concall, investor presentation summaries, or third-party coverage). Management's own qualitative commentary points to utilization being high: "Well, we are under tremendous execution pressure at the moment. So the factory is running very full" (Q4 FY26 concall), and external reporting notes revenue was flat quarter-on-quarter through FY26 while the third plant ramped, consistent with capacity running near its prior ceiling before that plant came online. Treat this as a qualitative signal only — see Key Risks for the execution-pressure risk this implies — not a computed headroom figure.

After capex: management's own disclosed revenue potential once the FY27-28 debottlenecking capex (~INR100cr total) and the large-generator capacity (calendar 2027 completion, calendar 2028 ramp) are online is roughly **INR3,000-3,200 crore** by FY28, against INR1,856cr delivered in FY26 (see Long Term outlook and the Capex/Milestones Timeline above). Because no "before" utilization baseline exists, the specific revenue this capex unlocks above today's ceiling cannot be isolated — only the combined FY28 destination is stated, not a before/after split.

Total Addressable Market (TAM)

No company-disclosed TAM figure (a specific market-size number) was found in the sources reviewed — management's market-opportunity framing is expressed as OEM capacity growth rates (e.g. "turbine customers, engine customers are, on an average, planning to double capacity by 2030") and the AI data-center opportunity sized at ~100GW globally (see Long Term outlook and Industry Tailwinds above), rather than a single addressable-market number in INR/USD terms with a stated capture target. This section is included per the framework's requirement to check for TAM, and states explicitly that none was found rather than estimating one.

Valuation — Forward PE

Input	Value	Source/Basis
Revenue guidance	INR2,400cr+	FY27 guidance, Q4 FY26 concall (15 May 2026)

Input	Value	Source/Basis
PAT margin used	12.88%	Assumed — trailing FY26 actual (INR239cr PAT / INR1,856cr revenue); management did not give an explicit FY27 margin target
Shares outstanding	15.5cr	INR31cr equity capital ÷ INR2 face value
Forward EPS	Rs. 19.94	Revenue guidance × margin ÷ shares
Price	Rs. 1,150	screener.in, 10 Jul 2026
Forward PE	**57.7x**	Price ÷ Forward EPS

Forward PE of 57.7x is arithmetic on management's own FY27 revenue guidance and a trailing-margin assumption (not a management-guided margin) — it says nothing about whether that multiple is cheap or expensive. It was 61.9x at Rs. 1,235 on the prior run; the change is entirely the price move (Rs. 1,235 to Rs. 1,150) — the guidance/margin/share-count inputs are unchanged. If FY27 margins normalize upward from the Q4 FY26 Turkey-related dip (management said they expect this), the actual forward PE would be lower than shown; if commodity-cost pressure persists, it could be higher.

Industry Tailwinds / Headwinds

Tailwinds

- **Prime-mover capacity doubling**: TDPS's own turbine/engine OEM customers are, on average, planning to double capacity by 2030, which management says translates directly into proportionally higher generator demand. "Now our turbine customers, engine customers are, on an average, planning to double capacity by 2030, some a little bit more, some a little bit less." (Q4 FY26 concall, May 15 2026)
- **Independent confirmation of the gas-turbine upcycle**: GE Vernova's global gas-turbine order backlog reached 100 GW in Q1 2026 with prices rising — external confirmation of the same OEM capacity upcycle TDPS is citing as its demand driver. (Source: Utility Dive, "GE Vernova gas turbine backlog hits 100 GW as prices rise")
- **AI data center buildout**: Management sizes the US data-center power opportunity at ~100GW over a 5-7 year build-out window, a demand pool it says it is only beginning to address. (Q4 FY26 concall, May 15 2026)

Headwinds

- **Machine-tool lead times industry-wide**: Large machining capacity for TDPS's own planned expansion now takes 15-16 months to procure, because the entire prime-mover supply chain is expanding at once. "So all the machine tool manufacturers worldwide are full with orders." (Q4 FY26 concall, May 15 2026)
- **Commodity cost pressure**: Copper prices have risen sharply ("copper at $14,000 is high") with TDPS's raw-material hedges running out; management expects a lag before customer price increases fully offset this. (Q4 FY26 concall, May 15 2026)

Technical Snapshot

(Third-party technicals, as of the search snapshot date — not the same date as the screener.in price above; treat as directional only and refresh before relying on it.)

- RSI (14-day): ~51 — neutral, neither overbought nor oversold.
- Price vs. moving averages: trading above both the 30-day EMA and the 200-day EMA, but one moving-average-crossover model flags a short-term "sell"/downtrend signal.
- 52-week range: Rs. 453.1 – Rs. 1,379.6.
- Near-term support cited around Rs. 1,127–Rs. 1,195, with a stop-loss reference near Rs. 1,251.

(Source: TopStockResearch/aggregated technical screens; cross-check against a live chart before acting on any of these levels.)

Promoter / Governance Track Record

- **Guidance reliability (tracked history)**: 1 tracked guidance-vs-actual comparison to date — FY26 revenue was guided at ~INR1,599cr (25%+ growth off FY25, given in the Q4 FY25 concall) and actual FY26 revenue came in at INR1,856cr, a **+16.1% beat**. 0 of the last 1 tracked guidance calls missed by more than 10% — no pattern of over-promising based on tracked history so far. The FY27 guidance of INR2,400cr+ given on this call is now logged and will be checked against FY27 actuals in the next refresh.
- **Promoter shareholding trend**: Promoter holding has fallen from 58.43% (Jun 2023) to 26.87% (Mar 2026). This is now independently explained: a May 2025 block-deal transaction saw three promoter entities and one public shareholder divest a combined 7.4% stake (1.15 crore shares, ~Rs. 530 crore) — specifically Nikhil Kumar (45 lakh shares), Saphire Finman Services LLP (33 lakh shares), and Hitoshi Matsuo (21 lakh shares) — via open-market block deals, not a preferential issue or other dilutive company action. No pledge disclosure was visible on the fetched page, and the promoter group declared no share encumbrance for FY26. State this as a clean, explained secondary-market divestment rather than an unexplained caution flag.
- **Auditor/compliance**: The company's FY26 Annual Secretarial Compliance Report (filed 18 May 2026) reported no non-compliances. No auditor qualification was visible in the documents fetched.

Promoter Fund Raises: No preferential equity, warrant, NCD, term loan, or promoter loan/guarantee was found on record for TD Power Systems (consistent with the company's own "almost debt free" positioning). Nothing on record; re-check on next refresh in case this changes.

Credit Rating Snapshot:

Agency	Instrument	Rating	Outlook	Date	Action
CRISIL	Long-term bank facilities	A+	Positive	23 Apr 2025	Outlook revised to Positive from Stable (reaffirmed at A+)
CRISIL	Short-term bank facilities	A1	—	23 Apr 2025	Reaffirmed

No downgrade or negative/watch-negative outlook currently in force — the opposite, in fact: CRISIL's outlook revision to Positive reflects its own expectation of continued strengthening in TDPS's generator-manufacturing business alongside renewables/data-center demand, corroborating (independently of management) the growth narrative in the Near/Medium/Long Term sections above. No ICRA or CARE rating was found for this company in the sources checked.

Legal & Litigation:

Case	Forum	Type	Amount	Status
Kirloskar 16% equity/share-transfer dispute	Karnataka High Court (on appeal from a Bengaluru Commercial Court, which had refused a temporary injunction)	Promoter-related	INR555cr	Ongoing

Vijay Ravindra Kirloskar (TDPSL's founder in 1999, and Chairman of Kirloskar Electric Company) and KEC Welfare Trusts have asserted a claim over a 16% equity stake (2.51 crore shares) held by Mohib Nomanbhai Khericha (TDPSL's current Chairman) and Nikhil Kumar (TDPSL's current MD, and Kirloskar's nephew), among others. The Karnataka High Court granted an interim order on 12 July 2023 restraining transfer or sale of the disputed shares, giving respondents one week to seek vacating it; a related Business Standard piece the same period described Kirloskar separately alleging insufficient SEBI disclosure around shareholder agreements. No public update was found beyond August 2023 in the sources reviewed — this report cannot independently confirm the matter's current 2026 status, and it should not be assumed resolved either way without further verification. Given it concerns 16% of the company's own equity held by its sitting Chairman and MD, this is treated as a live governance matter pending that verification, not a closed one.

Key Risks

- **Customer/contract concentration**: The Q4 FY26 margin hit came from a single Turkey contract dispute ("the customer also was exceptionally brutal with us") — a reminder that single-contract disputes can move consolidated margins by several points.
- **Commodity/input cost exposure**: Rising copper prices, with hedges running out and customer price pass-through lagging by design. (Q4 FY26 concall)
- **Execution/capacity-utilization risk**: "Well, we are under tremendous execution pressure at the moment. So the factory is running very full." Management flags that this high utilization raises the risk that any equipment breakdown causes production delays. (Q4 FY26 concall)
- **External capital-equipment dependency**: The large-generator capacity expansion depends on machine tools with 15-16 month lead times industry-wide, pushing full ramp-up out to calendar 2028 regardless of TDPS's own execution speed.
- **Falling promoter holding, now explained**: Down from 58.43% to 26.87% over three years, driven by a May 2025 open-market block-deal sale of 7.4% by three promoter entities and one public shareholder (~Rs. 530 crore) — a clean secondary divestment, not a preferential/dilutive company action, and not accompanied by any pledge.
- **Competitive intensity in large generators**: Management names Siemens, Baker Hughes (post-Brush acquisition), Mitsubishi, Fuji Electric, and Toshiba as established competitors in the large-generator segment TDPS is now entering — "So all these players are big players, the big energy companies, yes." On the nuclear/NPCIL opportunity specifically, management also notes domestic competition from BHEL and Crompton plus imports: "it's not like that we have a monopoly in this sector. It's competitive."
- **Unresolved promoter-level share dispute**: A Karnataka High Court interim order (12 Jul 2023) restrains transfer of a 16% equity stake (INR555cr) held by the company's own sitting Chairman and MD, following a claim from the company's founder. No confirmation of resolution was found beyond August 2023 — treat this as an open, unverified-current-status governance matter, not a settled one, until confirmed otherwise.

Source: TD Power Systems Q3 FY26 (9 Feb 2026) and Q4/FY26 (15 May 2026) earnings conference call transcripts, cross-checked against consolidated financials and shareholding data on screener.in, KIADB public land-allotment records, plus third-party technical screens and external industry/press data points (GE Vernova backlog via Utility Dive; INNIO capacity-expansion disclosures; Karnataka High Court litigation via Zee Business/Deccan Herald/Business Standard) as cited inline. Updated 11 Jul 2026: added a Company Summary and Value Chain Positioning; added status pointers to every outlook bullet, including a full guidance-evolution chain (Q3 FY26 to Q4 FY26) for the FY27 revenue target and the large-generator capacity timeline; added Segment-wise Performance, Manufacturing Locations & Physical Assets, and Total Addressable Market sections; refreshed current price; added independent CRISIL credit-rating history; confirmed the promoter shareholding decline is an explained open-market block-deal divestment rather than dilution; added a Legal & Litigation entry for the ongoing Kirloskar share-ownership dispute. This is a research summary of publicly available management commentary and filings only — not investment advice, a recommendation, or a solicitation to buy, sell, or hold any security. Forward PE shown above is arithmetic on a management estimate, not a valuation call. Conduct independent due diligence and consult a SEBI registered investment advisor before making any financial decision.